
PRINCIPLE 10 — MANAGE RESOURCES

The chief audit executive (CAE) manages the resources needed to implement the internal audit strategy and achieve the function's plan and mandate.

Effective resource management involves obtaining and deploying:

- **Financial resources:** Funding for internal audit operations, development, and tools.
- **Human resources:** Qualified people with the necessary skills, capacity, and availability.
- **Technological resources:** Appropriate systems and tools supporting effective and efficient audit work.

Resources should be deployed in accordance with the internal audit function's established methodologies.

Standard	Main purpose
10.1 — Financial Resource Management	Develop and manage a budget supporting internal audit's strategy and plan.
10.2 — Human Resources Management	Recruit, develop, retain, and effectively deploy qualified internal auditors.
10.3 — Technological Resources	Evaluate, implement, and use technology to improve internal audit effectiveness and efficiency.

STANDARD 10.1 — FINANCIAL RESOURCE MANAGEMENT

1. Standards & Guidance

Requirements

The CAE must manage the internal audit function's financial resources.

The CAE must develop a budget that supports:

- Successful implementation of the internal audit strategy.
- Achievement of the internal audit plan.
- Resources needed for the function's operation.
- Training.
- Acquisition of technology and tools.

The CAE must manage day-to-day activities effectively and efficiently in alignment with the budget.

The CAE must seek budget approval from the board and promptly communicate the impact of insufficient financial resources to the board and senior management.

Considerations for Implementation

The CAE should follow the organization's budgeting processes. An adequate internal audit budget should receive board approval whether the function is internally staffed or outsourced.

Budget monitoring should compare planned and actual expenditure and analyze significant variances to determine whether adjustments are needed.

A budget may include reserves for unexpected but necessary changes to the audit plan. This is an implementation option, not a requirement to maintain a particular reserve amount.

Where internal audit funding forms part of another department's or authority's budget, the CAE should still:

- Understand the amount allocated to internal audit.
- Track internal audit expenditure.
- Monitor whether available funding remains sufficient.

Significant additional funding needs arising from unforeseen circumstances should be discussed promptly with the board and senior management.

Examples of Evidence of Conformance

- Budget linked to the internal audit strategy and plan.
- Forecasts and actual expenditure records.
- Comparisons of planned and actual expenditure.
- Meeting minutes documenting budget discussions.
- Board records documenting budget approval.
- Communications explaining financial limitations and their effects.

2. Audit Focus Areas

- Alignment between the budget, strategy, and audit plan.
- Completeness of funding for operational activities.
- Funding for training, technology, and tools.
- Board involvement in budget approval.
- Monitoring of actual expenditure and forecasts.
- Identification and communication of funding shortfalls.
- Visibility of internal audit funding within a larger organizational budget.

3. Risks

Risk	Potential consequence
The budget is not linked to planned audit activities	Approved work may lack the funding needed for delivery.
Training and technology costs are omitted	Skills and tools may become inadequate for the function's responsibilities.
Significant variances are not investigated	Overspending or delivery problems may remain undetected.
Funding shortfalls are communicated late	The board cannot respond before audit coverage is affected.
Internal audit funding is embedded in another budget without clear tracking	The CAE may not know what resources are available or how they are used.
Cost reductions are made without assessing their effects	Audit quality, capability, or coverage may be weakened.

4. Controls — Suggested

Control	Type
Budget preparation linking expenditure to audit activities and strategic initiatives	Preventive
Budget checklist covering staffing costs, training, technology, tools, and external support where relevant	Preventive
Documented board approval of the internal audit budget	Preventive
Periodic comparison of budget, actual expenditure, and forecast	Detective
Review and explanation of significant variances	Detective
Documented escalation of funding shortfalls and associated coverage implications	Corrective
Separate identification of internal audit allocations within wider departmental budgets	Preventive

5. Audit Procedures — Suggested

Procedure	Required evidence
Trace significant audit activities and strategic initiatives to their funding assumptions.	Audit plan, strategy, budget calculations
Check whether the budget includes necessary training, technology, tools, and operational expenditure.	Budget schedules, development plans, technology plans
Verify that the CAE sought board approval and examine the recorded outcome.	Board submissions, minutes, approved budget
Compare actual expenditure with budget and review explanations for significant variances.	Financial reports, variance analysis, forecasts

Procedure	Required evidence
Assess whether identified shortfalls were communicated promptly and with a clear explanation of their effects.	CAE correspondence, board reports, revised coverage forecasts
Where funding sits within another budget, reconcile the internal audit allocation to expenditure records.	Cost-center reports, allocation schedules, ledger records
Examine responses to unforeseen financial needs.	Funding requests, management discussions, revised budgets

6. Red Flags

- Audit activities repeatedly postponed because funding was not planned.
- Training or essential tools are routinely removed to balance the budget.
- Significant expenditure variances have no explanation.
- The CAE cannot identify the function's available funding.
- Budget reductions occur without analysis of their effects on the audit plan.
- The board learns about financial limitations only after delivery targets are missed.

7. Common Findings — Illustrative Examples

- The internal audit budget does not clearly support the approved audit plan.
- Funding for required training and technology has not been included.
- Budget approval discussions are not documented.
- Significant variances are monitored but not investigated.
- The impact of insufficient funding was not promptly communicated.
- Internal audit expenditure cannot be distinguished within a larger departmental budget.

8. Professional References

- Global Internal Audit Standards — Standard 10.1.
 - Internal audit strategy and approved audit plan.
 - Organization's budgeting and expenditure management procedures.
 - Board-approved internal audit budget.
 - Internal audit financial forecasts and resource assessments.
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STANDARD 10.2 — HUMAN RESOURCES MANAGEMENT

1. Standards & Guidance

Requirements

The CAE must establish an approach to recruit, develop, and retain qualified internal auditors who can implement the internal audit strategy and achieve the audit plan.

The CAE must strive to ensure that human resources are:

Resource characteristic	Meaning
Appropriate	The function has the necessary mix of knowledge, skills, and abilities.
Sufficient	The quantity of available human resources is adequate.
Effectively deployed	Assignments optimize achievement of the approved audit plan.

The CAE must communicate with the board and senior management about the appropriateness and sufficiency of internal audit's human resources.

When resources are inadequate to achieve the plan, the CAE must determine how to obtain the necessary resources or communicate the impact of those limitations promptly to the board and senior management.

The CAE must evaluate individual internal auditors' competencies and encourage professional development.

The CAE must collaborate with internal auditors to develop their competencies through training, supervisory feedback, mentoring, or an appropriate combination of these approaches.

Considerations for Implementation — Resourcing Approach

Staffing arrangements should align with the internal audit charter, strategy, and plan.

Relevant considerations include:

- Organizational structure and complexity.
- Geographic coverage.
- Cultural and language requirements.
- Changes in the risk environment.
- Available budget.
- Cost, flexibility, and suitability of different staffing arrangements.
- Succession planning, including for the CAE role.

Options for addressing resource gaps may include recruitment, training, guest auditors, rotational assignments, external providers, or justified reliance on other assurance providers.

Considerations for Implementation — Recruitment

The CAE should work with human resources to develop job descriptions reflecting the competencies required.

Recruitment should consider the value of varied backgrounds, experience, and perspectives. An inclusive working environment should support collaboration and professional challenge.

The CAE may participate in interviews, professional networking, student events, and other recruitment activities.

Considerations for Implementation — Development and Retention

Development and retention arrangements may include:

- Training linked to identified competency gaps.
- Constructive supervisory feedback.
- Mentoring and learning through engagement work.
- Performance evaluation.
- Career development, promotion, compensation, and recognition.
- Knowledge sharing and succession planning.
- An ethical and professional working environment.

Regular performance evaluations can inform development. Annual evaluation is an example in the guidance, not a fixed frequency imposed by this standard.

Considerations for Implementation — Capacity and Deployment

Resource assessments should consider:

- Available competencies compared with those required.
- Nature and complexity of services.
- Number of auditors and productive working hours.
- Scheduling constraints.
- Availability of information, personnel, and properties needed for engagements.
- Opportunities for justified reliance on other assurance providers.

Staff must be available when the relevant engagement is scheduled, not merely included in total annual headcount.

Rotational and guest-auditor arrangements can provide specialist knowledge. Potential objectivity impairments must be considered and appropriate safeguards implemented.

The CAE should work within applicable organizational HR arrangements and advise the board and senior management when those arrangements restrict internal audit's ability to meet its staffing needs.

Examples of Evidence of Conformance

- Competency assessments and gap analyses.
- Job descriptions and staff résumés.
- Training plans and completion records.
- External provider contracts and assigned personnel qualifications.
- Audit schedules and resource allocations.
- Budget and staffing discussion records.
- Comparisons of estimated and actual engagement hours.
- Individual and function-level performance assessments.

2. Audit Focus Areas

- Recruitment criteria and required competencies.
- Capacity to deliver the approved audit plan.
- Assignment of staff according to skills and availability.
- Individual competency evaluations.
- Training, feedback, and mentoring.
- Retention and succession arrangements.
- Appropriate use of specialists and external providers.
- Objectivity safeguards for rotational and guest auditors.
- Communication of staffing limitations.

3. Risks

Risk	Potential consequence
Staff lack competencies needed for assigned work	Significant risks or control weaknesses may be overlooked.
Headcount is treated as equivalent to productive capacity	The audit plan may exceed realistic delivery capacity.
Specialist skills are concentrated in one person	Absence or departure may disrupt critical audit coverage.
Development activities are not linked to competency gaps	Training expenditure may not improve required capability.
High turnover is not addressed	Institutional knowledge, continuity, and productivity may decline.
Rotational staff review activities for which they recently had responsibility	Objectivity may be impaired.
Staffing limitations are not communicated	The board may have unrealistic expectations about audit coverage and quality.

4. Controls — Suggested

Control	Type
Competency framework and job descriptions linked to audit service needs	Preventive
Individual skills assessments and a function-level competency matrix	Detective
Capacity planning based on productive hours and engagement complexity	Preventive
Assignment review considering expertise, availability, and objectivity	Preventive
Individual development plans supported by training, feedback, and mentoring	Corrective
Retention and succession arrangements for critical roles	Preventive
Review of external provider personnel against agreed requirements	Preventive
Reporting of staffing gaps and their effects to the board and senior management	Detective

5. Audit Procedures — Suggested

Procedure	Required evidence
Compare recruitment criteria and job descriptions with competencies required by the audit plan.	Job descriptions, recruitment records, competency framework
Assess whether individual competencies have been evaluated and gaps identified.	Skills assessments, résumés, performance reviews
Recalculate available capacity using realistic productive hours.	Staffing schedules, leave plans, training commitments, capacity model
Sample engagements and assess whether assigned personnel had suitable skills and availability.	Resource allocations, workpapers, qualifications, schedules
Trace competency gaps to development actions and evidence of improvement.	Development plans, training records, subsequent review feedback
Examine supervisory feedback and mentoring arrangements.	Workpaper review notes, coaching records, mentoring plans
Review guest and rotational assignments for objectivity concerns and safeguards.	Previous responsibilities, declarations, assignment approvals
Assess how vacancies, turnover, and specialist shortages were addressed and communicated.	Vacancy reports, resource requests, board communications
Compare planned and actual engagement hours and evaluate lessons incorporated into future allocations.	Time records, engagement budgets, revised estimates

6. Red Flags

- Complex engagements are assigned solely according to who is available.
- Skills records are outdated or based only on job titles.
- The audit plan assumes all paid hours are available for engagements.
- Training is repeatedly cancelled because of workload.
- Staff receive review comments but no constructive development feedback.
- Persistent vacancies have no documented response.
- Critical knowledge is held by one person without succession arrangements.
- Rotational auditors assess work they previously managed without safeguards.

7. Common Findings — Illustrative Examples

- The staffing approach does not address the competencies required by the audit strategy.
- Individual competency assessments have not been completed.
- Resource planning excludes supervision, training, and administrative commitments.
- Development plans do not address identified skill gaps.
- Specialist shortages have not been communicated to the board.
- External provider staff were assigned without confirming suitable qualifications and experience.
- Rotational assignments lack documented objectivity safeguards.
- Significant differences between planned and actual hours are not used to improve future staffing estimates.

8. Professional References

- Global Internal Audit Standards — Standard 10.2.
 - Standard 8.2 — Resources.
 - Standard 3.1 — Competency.
 - Standard 2.2 — Safeguarding Objectivity.
 - Standard 9.5 — Coordination and Reliance.
 - Standard 12.1 — Internal Quality Assessment.
 - Domain II — Ethics and Professionalism.
 - Applicable organizational HR policies and competency frameworks.
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STANDARD 10.3 — TECHNOLOGICAL RESOURCES

1. Standards & Guidance

Requirements

The CAE must strive to ensure that internal audit has technology supporting the internal audit process.

The CAE must:

- Regularly evaluate the technology used by internal audit.
- Pursue opportunities to improve effectiveness and efficiency.
- Provide appropriate training when implementing new technology.
- Collaborate with the organization's IT and information security functions to implement technological resources properly.
- Communicate the effects of technology limitations on internal audit effectiveness or efficiency to the board and senior management.

Considerations for Implementation

Technology should support the function's responsibilities and improve the way audit services are performed and managed.

Examples include:

- Audit management systems.
- Governance, risk, and control mapping applications.
- Data science and analytics tools.
- Communication and collaboration tools.

The CAE should assess the feasibility of technological improvements across internal audit processes.

Technology proposals should explain the need, expected benefits, funding requirements, and implementation approach.

Where appropriate, internal audit should collaborate with other departments using shared governance, risk, and control systems.

Implementation plans should include:

- Introduction of the approved technology.
- Training for users.
- Coordination with IT and information security.
- Identification and treatment of technology-related risks.

- Demonstration of realized benefits to the board and senior management.

Relevant risks include information security and privacy of personal data.

The standard does not prescribe a particular software product or require AI. Technology should be selected according to the function's needs.

Examples of Evidence of Conformance

- Technology initiatives within the internal audit strategy.
- Documented technology evaluations and funding requests.
- Implementation plans and records of relevant discussions.
- Training and technology-use records.
- Workpapers demonstrating use of technology in engagements.
- Relevant staff qualifications and certifications.
- Information security, records management, and other applicable procedures.
- Communications explaining technology limitations and their effects.

2. Audit Focus Areas

- Suitability of existing technology for audit activities.
- Regular evaluation of technology needs and limitations.
- Business justification for new tools.
- Collaboration with IT and information security.
- Training and practical adoption.
- Security and privacy risks.
- Realized improvements in efficiency and effectiveness.
- Communication of unresolved technological limitations.

3. Risks

Risk	Potential consequence
Existing technology cannot support audit needs	Coverage, analysis, documentation, or reporting may be constrained.
Tools are acquired without a defined use case	Expenditure may produce little practical benefit.
Staff are not trained to use new tools effectively	Technology may be underused or applied incorrectly.
Implementation bypasses IT or information security review	Systems or audit information may be exposed to avoidable risks.
Data processing and analytical outputs are not validated	Audit conclusions may be based on incomplete or inaccurate results.
Technology limitations are not reported	The board may not understand their effects on audit performance.

Risk	Potential consequence
Benefits are not evaluated after implementation	Ineffective tools and processes may remain in use.

4. Controls — Suggested

Control	Type
Periodic assessment of technology capabilities against audit requirements	Detective
Business cases linking proposed tools to defined needs and expected benefits	Preventive
Implementation review involving IT and information security	Preventive
Training and practical user acceptance activities before wider adoption	Preventive
Access restrictions and information-handling arrangements appropriate to audit data	Preventive
Validation of significant data imports and analytical outputs	Detective
Post-implementation review of usage and realized benefits	Detective
Escalation and remediation of material technological limitations	Corrective

5. Audit Procedures — Suggested

Procedure	Required evidence
Map key audit activities to existing tools and identify unsupported needs.	Technology inventory, process maps, user requirements
Examine whether technology is regularly evaluated for effectiveness and efficiency.	Evaluation records, user feedback, improvement proposals
Review selected acquisitions for a clear business need and expected benefits.	Business cases, funding requests, approvals
Verify participation by IT and information security in implementation.	Review records, implementation plans, security assessments
Assess whether users received training appropriate to their responsibilities.	Training materials, attendance records, practical assessments
Inspect workpapers to determine whether tools are being used effectively.	Engagement files, analytics outputs, system records
For selected analytical work, verify input completeness and test output accuracy.	Source-data reconciliations, scripts or configurations, validation records
Compare achieved benefits with the original proposal.	Performance measures, time comparisons, post-implementation review
Examine communication of significant technology limitations and follow-up actions.	Board reports, management correspondence, remediation tracker

6. Red Flags

- Expensive tools have few active users.
- Staff maintain parallel manual records because the system does not meet their needs.
- New software is introduced without training.
- Audit data is transferred to unreviewed applications.
- Analytical results are accepted without checking source-data completeness.
- No one is responsible for reviewing technology effectiveness.
- Significant tool limitations are repeatedly raised internally but never escalated.
- The function cannot demonstrate any benefit from major technology expenditure.

7. Common Findings — Illustrative Examples

- Technology needs have not been assessed against the audit strategy and plan.
- New tools were implemented without documented IT and information security involvement.
- User training does not cover the functions needed for assigned audit work.
- Data analytics procedures do not include validation of inputs and outputs.
- Post-implementation reviews do not evaluate whether expected benefits were achieved.
- Technology limitations affecting audit coverage were not communicated to the board.
- Information-handling procedures have not been updated for newly adopted tools.

8. Professional References

- Global Internal Audit Standards — Standard 10.3.
 - Internal audit strategy and technology initiatives.
 - Organization's IT and information security policies.
 - Applicable records management and information-handling procedures.
 - Approved technology business cases and implementation plans.
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